

The U.S. Needs an Office of Competitive Assessment

Designing the OCA



RICHARD RUMELT

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The United States does not have an office or agency dedicated to analyzing the longer-term competition among major powers. The closest equivalent has been the Pentagon's Office of Net Assessment (ONA), which has served as the DoD's internal think tank for strategic foresight for over 50 years. However, it is now being disbanded. This opens the door for creating a replacement with a broader remit: the longer-term *multifaceted* competition among nations.

Closing the ONA

In March 2025, Defense Secretary Pete Hegseth ordered the reassignment of ONA personnel and the cancellation of its contracts, effectively closing the small office that provided independent, long-term evaluations of U.S. and adversary capabilities. The reasoning behind the decision to shut down was explained as a move to focus resources on the most critical national security challenges. It's unlikely that financial factors influenced this decision, as the ONA budget was relatively small by DoD standards, ranging from approximately \$10 to \$20 million annually.

This decision has sparked intense debate among the national security community about the future of ONA's critical roles in strategic planning and long-term assessments. ONA was characterized by its unique obligation to look ahead 20 years, analyzing emerging threats, trends, and military competition to shape U.S. defense policy. One strategist noted, "Shuttering a department that was vital to victory in the Cold War? That's a great way to lose the battles of tomorrow."¹ Senator Jack Reed (D-RI) criticized the choice as "shortsighted," cautioning that eliminating ONA might weaken U.S. military readiness.² He highlighted the office's crucial function in providing independent, long-term strategic evaluations essential for national security.

Senator Chuck Grassley (R-IA) saw the closure of ONA as a triumph. He had long expressed concerns that ONA failed to conduct numerous formal net assessments and that it financed academic research

unrelated to its primary mission. Additionally, he was notably critical of ONA's agreements with Professor Stephen Halper, who served as an FBI informant during the discredited Crossfire Hurricane probe into Russian interference in the 2016 presidential election.

With ONA being decommissioned, a critical question now arises: where should this kind of long-term thinking be housed, who should perform it, and with what mandate?

The Legacy of Net Assessment

The architect of net assessment at the DoD was Andy Marshall. The ONA's most significant contribution was shifting the Cold War conversation away from evaluating military balance by counting the number of tanks, planes, troops, and nuclear weapons each side had. Instead, Marshall brilliantly spearheaded a re-imagining of the Cold War as a long-term competition, focusing attention on both Soviet weaknesses and strengths.

Perhaps the most consequential document written by ONA was "Strategy for Competing with the Soviets in the Military Sector of the Continuing Political-Military Competition," authored by Marshall and Roche in 1976. Discussions with Defense Secretary Donald Rumsfeld had encouraged the authors to provide a longer-term strategic analysis for guiding DoD policy. Marshall's interest in the longer-term competition originated from his work at RAND Corporation (1969-71). Their joint interest in studying "strengths and weaknesses" and in "distinctive competencies" arose from their acquaintance with the language and logic of business strategy as taught at the Harvard Business School.

The 1976 paper called for a strategy for competing with the Soviet Union over the long haul. In reviewing the 1976 paper, this author wrote:³

Marshall and Roche's idea was a break with the budget-driven balance-of-forces logic of 1976. It was simple. The United States should actually compete with the Soviet Union, using its strengths to good effect and exploiting Soviet weaknesses. There were no complex charts or graphs, no abstruse formulas, no acronym-jammed buzz speak: just an idea and some pointers on how it might be used—the terrible simplicity of the discovery of hidden power in a situation.

One of the programs undertaken within this framework was forward basing U.S. missiles in Europe. The idea was simple—imposing rather than bearing economic costs. The increased accuracy of forward basing forced the Soviet Union to make disproportionately large investments in missile defense. Another was Ronald Reagan's "Star Wars" initiative, a direct application of Marshall and Roche's observation that "selectively advertising dramatic technology applications (thus exploiting the fact that "time is discounted" in world perceptions, i.e., announcing the technology is inferred as possessing the power attendant to deploying it)."

Intellectually independent of the armed services, the ONA was less bureaucratic and more willing to ask uncomfortable questions (e.g., "Are we actually winning this competition?"). Its critical contribution was focusing on the broader competition rather than the budget and weapons procurement issues that absorbed most of the DoD's bandwidth. As Krepinevich and Watts noted, the "Pentagon's many bureaucracies and power centers were too consumed by the internal competition with one another over budget shares and their own agendas to focus dispassionately on these larger strategic questions that formed the core of ONA's assessments."⁴

The Mission of Competitive Assessment

It is essential to maintain the capacity to focus on broader, long-term competition. This entails closely analyzing a competitor's strengths and

limitations as well as our own. Importantly, the activity must address the overarching rivalry among nations, considering economic, political, industrial, social, demographic, educational, and health aspects. I propose naming this new agency the Office of Competitive Assessment, or OCA.

Andrew Marshall's key insight was a focus on the politico-military competition between the U.S. and its adversaries, with special attention to weaknesses as well as strengths. Today, the evolving situation in the world requires a broader commission: a focus on the multifaceted competition among nations. There are three compelling reasons for this broader remit.

1. The Internet, widespread smartphones, and social media have accelerated and intensified the influence of events on public attitudes and beliefs. Non-military and non-state actors can now utilize imagery and rhetoric to engage citizens locally and globally. For instance, over the past year, the conflict between Hamas/Iran and Israel has been influenced as much by visuals and propaganda as by military actions. Looking ahead, if China employs military force to take Taiwan, its and our future global reputations will be significantly shaped by the online images, personal stories, and narratives that follow such an event.

2. During the Cold War, the U.S. and NATO were seen as symbols of economic, technological, and industrial strength by much of the world, with its institutions held in high regard. However, times have shifted. Currently, our education and healthcare systems appear more costly and less effective than those in many other countries. It's concerning that a considerable number of young individuals are ineligible for military service due to being overweight, undereducated, or having criminal records. Furthermore, many internationally prefer not to face the rampant drug addiction and homelessness that have affected numerous U.S. cities. Negative perceptions also stem from the high murder rates in Chicago and the escalating racial tensions of the last decade. Residents from Europe, China, and Morocco question why the U.S. has yet to develop a high-speed train system.

Such considerations are not trivial when examining long-term competition. Our citizens and other people are attracted to strength, achievement, and coherence, and are disaffected by their absence. The Cold War with the Soviet Union was not resolved through direct military conflict, but by the gradual loss of internal support for the trajectory of Soviet civilization. Looking ahead to a long-term competition with China, and in the absence of a spasm war, such issues may play a significant role.

3. Industrial systems' capacity, speed, and resilience have always been a key feature of competition between nations. The U.S. industrial system was nearly preeminent worldwide for almost one hundred years. With the rise of China and the offshoring of so much U.S. manufacturing, industrial capacity has become a critical issue. China's shipbuilding capacity is at least 100 times larger than the U.S. The U.S. Navy struggles with limited shipbuilding capacity and a declining workforce—it is looking for over 100,000 experienced personnel but cannot find them. The capacity to produce modern weapons remains limited—it is estimated that it will take over 30 months to replace the Javelin missiles sent to Ukraine, and artillery shells had to be “borrowed” from South Korea to support Ukraine. In a long-term competition between civilizations, these are obvious weaknesses that an adversary's strategists will exploit.

Industrial capacity encompasses more than just facilities and equipment. It also includes the speed at which innovations can be integrated, new facilities established, and the skill level of the workforce. While the U.S. developed new aircraft and missile systems in approximately five years during the 1955- 65 period, today it may take 25 to 30 years to introduce a new platform. There is evidence suggesting that China is developing new weapons systems two to five times faster than the U.S.

China graduates six times as many engineers per year as the U.S., with about one-third of Chinese undergraduates majoring in engineering (versus roughly 6% in the U.S.). Whereas American engineers focus on design and innovation, the much larger cadre of Chinese engineers and technicians provides a vast pool of people specialized in the “know how” of manufacturing.

The role of the OCA would be to study and develop the precursors to U.S. national strategy by creating competitive assessments of

comparative strengths and weaknesses and their evolution over longer time spans. (In Washington, anything longer than a presidential administration is longer-term.) In this regard, it is essential to be sure that such assessments include elements that may have appeared less significant in the past:

1. The education and talent mix of the populace.
2. The overall physical and mental health of the populace.
3. The overall ability of society to withstand, adapt, respond to, and recover from both nature-derived and human-made adversities (resilience)
4. The strength and breadth of the industrial base and the speed with which new facilities can be created and products produced.
5. Technological trends and evolving technical leadership.
6. The levels of respect and/or distrust held by opponents and allies.

Assessments Role in Strategy

The mission of the OCA would be to create competitive assessments of the relative strengths and weaknesses of the U.S. and its actual or potential adversaries. Such assessments are the precursors to actual strategies aimed at curing or exploiting these imbalances.

The OCA may occasionally suggest certain curative strategies, but that is not its primary mission. The reason for this constraint is the widespread misuse and mistrust of the word “strategy” in U.S. government. This distrust stems from the unfortunate displacement of the term from its original meaning—an approach to grappling with an opponent—to the long-winded descriptions of hoped-for outcomes that pass for “strategy” in much of government and business.

For example, the Obama administrations National Security Strategy (2010) included a section on education. It read:

The United States has lost ground in education, even as our competitiveness depends on educating our children to succeed in a global economy based on knowledge and innovation. We are working to provide a complete and competitive education for all Americans, to include supporting high standards for early learning, reforming public schools, increasing access to higher education and job training, and promoting high-demand skills and education for emerging industries. We will also restore U.S. leadership in higher education by seeking the goal of leading the world in the proportion of college graduates by 2020.

This rather standard strategy-speak has glaring deficiencies that most reasonable people quickly sense. First, it provides no diagnosis as to why the U.S. has “lost ground” in education. One cannot solve a problem without knowing its causes. Secondly, “leading the world in the proportion of college graduates” is a preposterous goal if secondary education is failing. Its accomplishment would only destroy the value of college education.

As a more recent example, the Biden-Harris 2022 National Security Strategy framed the overall situation as a conflict between the values of democracy and autocracy.⁵ The key threats are Russia, China, and climate change. It then calls for “Transformative Cooperation” with other nations that share U.S. interests; A more “Prosperous World;” A “Stronger Military” based on joint integration across all domains, regions, and policies; And, working internationally to counter climate change.

What the 2022 NSS did not do, and why it failed to drive coherent action, is recognize the difficulties and challenges. Some of these are implicit yet unmentioned within the stated ambitions, while others have simply been overlooked. For example: Will European allies truly join forces with the U.S. in opposing a Chinese takeover of Taiwan? The U.S. has been calling for “jointness” for many years. Why is this so difficult, and what is actually being done to make it work this time?

There was no mention of the critical problem noted in *Foreign Policy* that “Every advanced weapon in the U.S. arsenal—from Tomahawk missiles to the F-35 fighter jet to Aegis-equipped destroyers and cruisers and everything in between—is absolutely reliant on components made using rare-earth elements”⁶ that come almost exclusively from China. With regard to climate change being an “existential threat,” will the world’s poorer countries really agree to stay poor rather than burn wood, coal, and oil for energy?

When one recognizes a specific difficulty it invites a specific action response. By avoiding the mention of specific difficulties or challenges, the NSS sidestepped the pressure to call out identifiable actions. Thus, the NSS relied on statements of hubristic goals and ambitions. *The consequent banality is the source of the widespread general contempt for “strategy.”*

The basic answer to this concern is to force a *challenge-based* approach. That is, a strategy should be seen as a mix of policy and action designed to overcome one or more high-stakes *challenges*. It is not a “bridge between ends and means” or a list of goals and desired outcomes. Rather, it is a form of problem-solving. And, since one cannot solve a problem that has not been defined, diagnosis and assessment are necessary.

The key mission of the OCA should be identifying, analyzing, and assessing the importance of national challenges arising out of an assessment of the strengths and weaknesses of the U.S. and its actual and potential adversaries. (Thus, the connection between challenge-based strategy and the traditional practice of “net assessment” is straightforward.)

A hard won lesson from work on strategy in many organizations is that many critical challenges are internal. It is difficult to grapple successfully with an adversary or competitor if internal interests and processes pull resources and energy in other directions. A delicate job

of the ONS will be to comprehend and analyze our own weaknesses without being hung out to dry in the process.

Although critical challenges can often be identified through a well-done assessment, not every critical challenge can be addressed with current skills and resources. Some must be deferred or replaced with the challenge of developing the necessary skills and resources. This refinement is essential in moving from analysis to action.

Diagnosis and Assessment

We identify critical challenges by diagnosing the situation. Diagnosis means analyzing human and material forces' existing structure, underlying policies and intentions, and their potential effectiveness. This is, in essence, preparatory work for an assessment of comparative advantage.

Identifying critical challenges in national strategy work is more complex than in simpler settings. This complexity arises from the intricate dynamics of the international system and the significance of non-military factors, particularly political, demographic, economic, and technological aspects.

When considering the future, there are two conflicting temptations. The first is to describe it in terms of our aspirations and desired states of being. Thus, "Making the world safe for democracy" continues to be a national vision restated in different terms by U.S. leaders after more than a century. Having a "lethal" military is the current flavor of this snack. The second temptation is envisioning the future as a continuation of the present—a "Cold War" forever. The obvious support for this temptation is that it calls for more of the same forever. Unfortunately, it leaves the nation unprepared for significant disruptions. Or, for actually winning the competition, as happened in 1992.

The complexity of forecasting in national security suggests the need for three separate streams of analysis and planning. They are:

1. *The surprise-free scenario.* That is, if current conditions and trends continue into the future, what challenges and opportunities does the nation face?

2. *The achievable futures.* That is, what are the possible quasi-stable longer-term arrangements of international powers and forces? For example, if current trends toward strengthening defense over offense persist, and if the shift toward a multi-polar world continues, there is a future in which the US leverages its defensible geographic position and resource base in a world fracturing into continental powers that accept mutual vulnerability to nuclear weapons.

3. *The potential disruptions.* Much of modern business and military strategy has been in response to the unforeseen consequences of disruptive change. The rifled musket altered tactics during the U.S. Civil War; the machine gun in WWI; the aircraft carrier in WWII; atomic weapons since; precision strikes in 1991; drones in Ukraine in 2022. Looking to the future, we do not yet comprehend the impact of AI, cyber-warfare, EMP strikes, space issues, mass immigration, or declining birth rates.

The purpose of such studies and look-aheads is to identify the key challenges and opportunities the nation may encounter. Useful action-taking arises from recognizing these challenges.

Where Should the OCA Be Placed?

Situating the Office of Competitive Assessment within the U.S. government requires striking a balance between autonomy and access to power. If longer-term competitive assessment does not have a secure place within the government, it will not happen. And, without careful structure, the OCA could become another “strategic” planning office among many—without unique leverage or influence.

- The Project on National Security Reform has proposed establishing a Center for Strategic Assessment and Analysis within the White House. This placement would elevate the NSO's functions to the highest level of government. The proposal draws inspiration from President Eisenhower's Planning Board of the 1950s, which provided long-range strategic guidance. The concept mirrors China's Central National Security Commission, established by Xi Jinping in 2013 to centralize strategic planning. However, this solution faces practical challenges: maintaining continuity across administrations and ensuring staffing with qualified experts rather than political appointees. Eisenhower's Planning Board did not survive into the Kennedy administration. Placing it next to OMB within the Office of the President would be effective if it were insulated from budget battles and the election cycle.
- The precursor to ONA (Net Assessment Group, 1971) was placed in the National Security Council (NSC). A new OCA could also be placed there. The NSC sits at the intersection of foreign, defense, economic, and domestic security policy making. It is, however, essentially reactive, managing today's crises. NSC staff are often political appointees or heavily influenced by short-term political priorities. Most staff turn over every two years. The OCA might struggle to maintain independence and long-term focus. Also, many critics have seen the NSC as too large and too operational. Both Obama and Trump have worked at slimming it down. Another issue is that Biden expanded its focus to include domestic issues such as climate change, labor rights, and racial equity. Critics contended that this broadened scope diverted attention from traditional national security concerns and introduced partisan objectives into security deliberations. In response, Trump has cut staff and refocused the NSC. However, this history does not speak to the necessary stability to house the OCA.

- Another potential solution lies in reviving a congressional analytical capability, such as the former Office of Technology Assessment, which provided technology-focused guidance to lawmakers until its dissolution in 1995. Given the OCA's broad mandate to assess challenges beyond the military, this is a natural fit.

When the OTA operated, it provided analyses that assisted Congress in navigating the technological terrain of the late 20th century, including the computer revolution, the emergence of genomics, and global environmental challenges. Its shutdown in 1995 was a product of immediate political considerations. There have been recent proposals for a new OTA (the “Congressional Office of Technology”)—its backers want access to all members of Congress and coordination with other technology programs. Such constraints which would not be appropriate for some of the sensitive work of the OCA.

- Within the DoD, some suggest expanding the role of the Joint Chiefs of Staff in strategic assessment. In 2016, the J-8 considered creating a dedicated assessment team; however, this proposal then sparked jurisdictional tensions with the ONA. More recent discussions have explored embedding long-term assessment capabilities within existing structures—perhaps under the Under Secretary of Defense for Policy or the Cost Assessment and Program Evaluation office. However, the Joint Staff and services naturally focus on near-term planning and operations, lacking a mandate to challenge established thinking. Obtaining truly independent analysis will be difficult as long as the services continue to control this staff's careers and promotions. Furthermore, as James Baker noted, military-led assessments risk being overly optimistic about U.S. capabilities, potentially lacking the critical perspective that civilian analysts provide.

If the OCA is established within the DoD, it should be accompanied by a grant of autonomy similar to that enjoyed by the ONA in the past and by DARPA today. Furthermore, it must be protected from efforts to limit its scope to politico-military affairs.

Who Should Staff the OCA?

The OCA should consist of an elite, eclectic mix of experts in warfare, economics, technology, and society—individuals capable of envisioning the future 15-25 years ahead to identify potential shifts in power dynamics. The team must carefully balance civilian and military elements, remain small yet formidable, and establish mechanisms to challenge its own thinking. To be free from day-to-day parochial agendas and daily tasks, it must report directly to top leadership.

The formula that worked for ONA was having Andy Marshall as the ongoing leader, supported by a small rotating group of staff analysts and the engagement of outside analysts, along with contracts with selected think tanks. One key element of this formula was that staff

were not directly assigned to the ONA; instead, Marshall recruited specific individuals. Many key staff members were military officers nearing retirement, holding the rank of Colonel or below. This approach brought in a valuable mix of experience while alleviating concerns about future promotions.

ONA's historical successes and similar organizations like RAND, the UK's Joint Intelligence Committee (JIC), and the UK's SONAC highlight these principles. The JIC is a small group of senior officials and heads of intelligence agencies tasked with assessing threats related to military, criminal, technical, or other areas. SONAC is the Secretary of State's Office of Net Assessment and Challenge, a core team of 25 people that provides independent advice to the UK Ministry of Defense.

By attracting top talent across disciplines and fostering a culture of rigorous debate, OCA could equip national leadership with thorough, forward-looking competitive assessments. Such an office would help ensure that we are guided by a genuinely comprehensive evaluation of military, economic, educational, and social strengths and weaknesses – both our own and those of our rivals.

A rotating board of influential experts should accompany the core analytical engine of the OCA. These individuals ought to be thoughtful leaders drawn from the military, intelligence, State Department, Congress, and business sectors. The board's purpose is to evaluate the reasoning behind OCA's analyses and to quietly cultivate its audience of supporters and followers. The board should comprise nine members or fewer.

1 Hal Brands, "Pete Hegseth Is Closing a Pentagon Office That Wins Wars," *Bloomberg*, March 18, 2025.

2 "Hegseth 'disestablishing' Office of Net Assessment, Pentagon's strategic analysis specialists," *Small Wars Journal*, March 25, 2025.

- 3 Richard Rumelt, *Good Strategy/Bad Strategy: The Difference and Why It Matters*. Crown Business, 2011, p. 29.
- 4 Andrew Krepinevich and Barry Watts. *The Last Warrior*. Basic Books, 2015, p. 130.
- 5 This analysis is drawn from Richard Rumelt, "[The Standard Narrative](#)," Substack, 2023.
- 6 Keith Johnson and Lara Seligman, "How China Could Shut Down America's Defenses," *Foreign Policy*, June 11, 2019.